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Procter & Gamble's Claim of 'Irresistible Superiority' Baffles Analysts

CFO Jon Moeller uses catchphrase to describe strategy, after quarterly net income slides

By Rhea Rao

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Tide laundry detergent, a product distributed by Procter & Gamble. The company says its products deliver 'irresistibly superiority.' © MARIO ANZUONI / REUTERS/REUTERS

Procter & Gamble Co.'s strategy to boost sales is simply "irresistible," if you listen to the finance chief.

CFO Jon Moeller used the phrase "irresistibly superior" 17 times and "irresistible superiority" six times during Wednesday's earnings call.

"Tide PODS and Downy Unstopables scent beads are great examples of products that deliver irresistible superiority," Mr. Moeller said. "Using these products change

consumers' views of what's possible in the fabric-care category.”

The company plans to introduce new packaging and improved products formulations that would draw in consumers with its “irresistible superiority,” the CFO said.

It isn't the first time an executive at the maker of laundry detergent, skin products and razors used the term to describe its plan to boost sales and inspire consumer loyalty. Procter & Gamble has been under pressure to increase its profits after it shed some brands in an attempt to gain focus.

P&G reported net income of \$2.52 billion, or 93 cents a share, for the quarter ended March 31, down from earnings of \$2.75 billion, or 97 cents a share, a year earlier. Sales slipped to \$15.61 billion from \$15.78 billion a year ago.

Still, some analysts are resisting the catchphrase.

“I don't think they understand it,” said Ali Dibadj, partner and analyst at Sanford C. Bernstein & Co. “In many different ways they said it isn't about share gains, and it isn't about hiking the price.” That leaves few options for delivering growth, he said.

Others questioned the CFO's assertion that the strategy would deliver value. Mr. Moeller used the term to explain how the company intends to “drive people to buy its brands more because it is worth more—whatever that means,” said Mark Astrachan, an analyst at Stifel Nicolaus & Co.

“In a slower growth macro environment, we are establishing an even higher standard of excellence—that of irresistible superiority for our products and packages,” said a company spokeswoman in an email. “Irresistible superiority means our products are so good, consumers don't ever want to part with them.”

The finance chief indicated the company intends to expand market share in the various product categories it competes in, including beauty, grooming and home-care products.

This might be a challenge as sales of certain lines are declining due to changing consumer preferences. Organic sales for P&G's grooming segment fell 6% in its latest fiscal quarter.

Triun Fund Management LP, a large activist investor, recently built a more than \$3 billion stake in P&G. It isn't clear what changes the fund would advocate, if any. Triun declined to comment.

"It becomes harder to grow, the bigger you get," Mr. Astrachan said. "Smaller often means more agile, faster decision making."

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